INTERNAL & EXTERNAL GOVERNANCE MEMORANDUM
TO: SilverOak Hospitality & Resorts, Inc. Stakeholders & Operations Review Board
FROM: Office of Legal, Risk & Governance, Kestrel CyberDefense Group LLC
DATE: 2024-07-07
SUBJECT: Commercial Liability Allocation, Audit Rights, and Refund Standard (Ref: DG-FIN-2024-0167, Rev 3.3)
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1. FEE STRUCTURE, INVOICING SCHEDULE, AND CURRENCY SETTLEMENT
1.1 Subscription and Usage Fees. This Commercial Liability Allocation, Audit Rights, and Refund Standard ("Financial Schedule") governs all fees, invoicing procedures, tax responsibilities, audit rights, and financial liability limits between Kestrel CyberDefense Group LLC ("Billing Entity") and SilverOak Hospitality & Resorts, Inc. ("Payor") effective 2024-07-07.
1.2 Invoicing Cadence and Settlement. Unless otherwise specified in an executed Order Form, recurring base subscription fees are invoiced annually in advance, and metered consumption charges are invoiced monthly in arrears based on verified telemetry logs. All undisputed invoice amounts are due and payable in United States Dollars (USD) via ACH or wire transfer within 30 calendar days of Payor's receipt of a valid itemized invoice.
1.3 Tax Documentation. Fees are exclusive of applicable sales, use, value-added, or withholding taxes. Billing Entity shall provide a valid IRS Form W-9 (or W-8BEN-E where applicable) and itemize statutory taxes separately on each invoice.

2. GOOD-FAITH BILLING DISPUTES AND METERED USAGE VERIFICATION
2.1 Invoice Dispute Procedure. Payor may withhold payment of any line item disputed reasonably and in good faith by providing written notice and supporting documentation to Billing Entity prior to the invoice due date, while timely remitting all undisputed portions of the invoice.
2.2 Usage Reconciliation. Billing Entity shall provide Payor with daily access to an itemized usage dashboard displaying seat counts, API call volumes, and storage consumption metrics used to calculate metered charges.

3. PRICE PROTECTIONS, REFUNDS, AUDIT RIGHTS, AND LIABILITY LIMITS
3.1 Balanced Financial Safeguards. Annual renewal fee increases shall not exceed the lesser of three percent (3%) or the trailing twelve-month Consumer Price Index (CPI-U), late payments on undisputed balances accrue interest at 0.5% per month, Customer receives a pro-rata refund of prepaid unearned fees upon termination for cause, and aggregate financial liability is mutually capped at 12 months of fees.
3.2 Mutual Audit and Verification Rights. No more than once per calendar year, upon 15 days' prior written notice and during normal business hours, either party may engage an independent certified public accounting firm to audit the other party's billing or license compliance records. Each party bears its own audit expenses unless the audit reveals an overcharge or underpayment exceeding five percent (5%), in which case the discrepancy shall be promptly settled at standard contract rates without punitive multipliers.
3.3 Exclusion of Consequential Damages. Neither party shall be liable for indirect, incidental, special, punitive, or consequential damages, including lost profits or business interruption.

4. PURCHASE ORDERS, EXPENSE REIMBURSEMENT, AND TREASURY CONTROLS
4.1 Pre-Approved Expenses Only. Billing Entity shall not invoice Payor for travel, lodging, or out-of-pocket ancillary expenses unless such expenses were pre-approved in writing by

Payor and are supported by itemized receipts in accordance with Payor's corporate expense policy.

4.2 Setoff and Reconciliation. Undisputed service credits or overbilling adjustments shall be applied directly against the next scheduled invoice or refunded in cash within thirty (30) days if the Agreement has expired.

5. ADMINISTRATIVE PROVISIONS AND TREASURY CONTACTS

5.1 Remittance Instructions. All wire and ACH settlements shall reference Document Code DG-FIN-2024-0167 and be directed to the treasury account designated by Kestrel CyberDefense Group LLC, 1775 Tysons Blvd, Suite 900, McLean, VA 22102.

5.2 Severability and Integration. This Financial Schedule forms an integral part of the commercial relationship between Kestrel CyberDefense Group LLC and SilverOak Hospitality & Resorts, Inc. as of 2024-07-07.